Cambridge IGCSE™

ECONOMICS

0455/11

Paper 1 Multiple Choice

Predicted
Advanced

MARK SCHEME
Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks.

Mark schemes should be read in conjunction with the question paper.

This predicted-paper mark scheme has been written to closely reflect the marking conventions used by Cambridge Assessment International Education for the Cambridge IGCSE™ Economics (0455) syllabus.

This document consists of 3 printed pages.

Question	Answer	Marks
1	**B**	1
2	**A**	1
3	**B**	1
4	**B**	1
5	**A**	1
6	**D**	1
7	**C**	1
8	**C**	1
9	**B**	1
10	**C**	1
11	**D**	1
12	**C**	1
13	**D**	1
14	**A**	1
15	**A**	1
16	**D**	1
17	**A**	1
18	**C**	1
19	**B**	1
20	**C**	1
21	**D**	1
22	**A**	1
23	**D**	1
24	**B**	1
25	**C**	1
26	**B**	1
27	**A**	1
28	**D**	1
29	**B**	1

30 **D** 1

Examiner guidance

The following notes explain the economic reasoning behind each correct answer.

Q	Rationale
1	A general rise in productivity enables more of BOTH goods, so entire PPC shifts out.
2	Giving up 20 tonnes of wheat (¼ of 80) gains ¼ of 50 barley = 12.5 tonnes.
3	Positive XED > 1 indicates close substitutes.
4	$\% \Delta Q = YED \times \% \Delta Y = –0.4 \times 10 = –4\%$. Good is inferior.
5	With perfectly inelastic demand, quantity does not fall so consumers pay the full tax.
6	Rightward shift of supply reduces price and raises quantity.
7	With external benefits, marginal social benefit > marginal private benefit; the market under-produces and the market price underestimates the true social value, so price is 'too low' relative to MSB.
8	Standardised, transparent information reduces asymmetric information.
9	TC = (6+4)×1000 = 10 000; profit = 12 000 – 10 000 = 2 000.
10	Capital investment + training improve output per worker.
11	In a contestable market, branding alone is weak; other options are genuine barriers.
12	Profit is maximised where MC = MR.
13	Profitable firms with rising productivity can afford pay rises; unions have bargaining power.
14	Lower rates reduce the cost of borrowing and typically raise C and I, raising AD.
15	Real GDP growth ≈ nominal growth – inflation = 7 – 4 = 3%.
16	Stagflation requires measures that boost LRAS without worsening inflation.
17	Higher rates attract hot-money inflows, appreciating the currency and reducing net exports.
18	High marginal rates can reduce incentives to work or invest.
19	Automatic stabilisers: tax receipts fall and welfare spending rises in a recession.
20	Higher Gini (closer to 1) = greater inequality.
21	Malthusian pressure – output per head falls, food must be imported.
22	The virtuous circle links investment, productivity, incomes and savings.
23	Retaliation reduces world trade. Net effect on the current account depends on elasticities and cannot be assumed to improve.
24	Higher export demand increases demand for the currency → appreciation.
25	Commodity prices are volatile, causing unstable export earnings and fiscal revenue.
26	J-curve: trade balance worsens short-run (inelastic demand), improves longer-run.

27 Marshall–Lerner: PEDx + PEDm > 1 for depreciation to improve the trade balance.

28 Structural unemployment is the LIKELY short-run outcome, not eliminated.

29 A customs union removes internal tariffs and sets common external tariffs.

30 All three pairs may conflict (Phillips curve, growth-vs-inflation, growth-vs-environment).